



Regulated by the Central Bank of Kenya

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7th May, 2014

**The Chief Executive
Nairobi Securities Exchange
55 Westlands Road
Nairobi.**



Dear Sir,

NIC BANK LTD - PUBLICATION OF UN-AUDITED FINANCIAL STATEMENTS AND DISCLOSURES FOR THE PERIOD ENDED 31ST MARCH 2014

We wish to inform you that our Group and Bank results for the period ended 31st March 2014 have been approved by the Board of Directors.

Please find enclosed a copy of our un-audited financial statements for the period ended 31st March 2014.

We intend to publish the same in the Daily Nation and The Standard on Friday 9th May 2014.

Yours faithfully,


Lucy Njoroge
HEAD OF FINANCE

Encls

**Cc: The Ag. Chief Executive
Capital Markets Authority**



The Board of Directors of NIC Bank Limited is pleased to announce the Un-audited financial results of the Group and Bank for the period ended 31st March, 2014.

STATEMENT OF FINANCIAL POSITION

	31st March, 2014 Un-audited Shs 000	Group 31st Dec, 2013 Audited Shs 000	31st March, 2013 Un-audited Shs 000	31st March, 2014 Un-audited Shs 000	Bank 31st Dec, 2013 Audited Shs 000	31st March, 2013 Un-audited Shs 000
ASSETS						
Cash (both Local & Foreign)	1,288,303	1,470,152	1,011,404	852,338	1,094,149	692,444
Balances due from Central Banks	7,423,165	7,273,392	6,072,434	6,342,261	5,950,797	5,392,110
Kenyan Government securities held for dealing purposes	-	-	-	-	-	-
Financial assets at fair value through profit & loss	246,568	155,334	139,065	-	-	-
Investment Securities:						
a) Held to Maturity						
a. Kenya Government securities	7,649,289	3,972,106	4,388,247	7,649,289	3,972,106	4,388,247
b. Other securities	1,480,225	1,516,326	1,791,684	-	-	-
b) Available for sale:						
a. Kenya Government securities	11,434,613	11,974,223	10,289,659	11,434,613	11,974,223	10,289,659
b. Other securities	882,556	475,161	218,513	-	-	-
Deposits and balances due from local banking institutions	1,140,466	518,795	1,956,464	639,231	174,441	1,133,500
Deposits and balances due from banking institutions abroad	2,692,801	5,401,404	2,587,310	2,262,720	4,014,967	2,499,845
Tax recoverable	80,025	188,847	35,732	-	-	-
Loans and advances to customers (net)	85,458,931	83,493,313	70,603,866	78,538,601	77,114,087	64,130,884
Balances due from banking institutions in the group	-	-	-	1,909,522	2,029,916	1,835,966
Investments in associates	-	-	-	3,365,493	-	2,988,932
Investments in subsidiary companies	-	-	-	-	-	-
Investments in joint ventures	-	-	-	-	-	-
Investment properties	-	-	-	-	-	-
Property and equipment	1,127,697	1,119,264	1,049,565	831,308	825,910	779,880
Prepaid lease rentals	7,729	7,250	7,244	7,219	7,250	7,344
Intangible assets	1,047,921	1,095,538	1,135,284	586,707	629,580	638,423
Deferred tax asset	328,840	328,788	245,731	302,270	302,289	241,808
Retirement benefit asset	-	-	-	-	-	-
Other assets	2,514,612	2,073,229	1,530,647	2,150,383	1,461,646	1,131,446
TOTAL ASSETS	124,835,231	121,062,739	103,283,469	116,891,985	112,916,814	96,350,488
LIABILITIES						
Balances due to Central Banks	-	-	-	-	-	-
Customer deposits	92,573,728	91,565,005	78,387,595	85,589,814	84,236,189	72,246,785
Deposits and balances due to local banking institutions	4,042,566	3,417,396	2,290,982	3,351,558	2,431,233	1,653,645
Deposits and balances due to foreign banking institutions	2,721,209	2,478,938	304,178	2,721,209	2,478,938	304,178
Other money market deposits	-	-	-	-	-	-
Approved funds	4,109,685	3,628,169	3,649,354	3,646,611	3,628,169	3,649,354
Balances due to banking institutions in the group	-	-	-	9,991	47,741	391,367
Tax payable	659,884	306,709	747,054	648,785	296,595	743,463
Dividends payable	-	-	-	-	-	-
Deferred tax liability	-	-	-	-	-	-
Retirement benefit liability	-	-	-	-	-	-
Other liabilities	2,073,026	2,097,616	1,697,721	2,036,698	2,167,020	1,734,991
TOTAL LIABILITIES	105,980,098	103,493,833	87,076,864	98,004,666	95,285,885	80,723,783
EQUITY						
Paid up / Assigned capital	2,714,921	2,714,921	2,714,921	2,714,921	2,714,921	2,714,921
Share premium	1,208,068	1,208,068	1,208,068	1,208,068	1,208,068	1,208,068
Reserves	13,984,724	12,592,245	10,369,777	13,783,136	12,292,876	10,176,585
Retained earnings	939,021	975,617	654,669	759,618	729,618	610,131
Statutory loan reserves	(990,320)	(896,738)	(559,374)	(137,298)	(209,823)	(311,222)
Other reserves	407,240	407,238	542,984	407,240	407,238	542,984
Proposed dividends	-	-	-	-	-	-
Capital grants	-	-	-	-	-	-
Non-controlling interests	18,463,221	17,191,394	15,715,102	18,887,289	17,630,929	15,626,705
TOTAL EQUITY	18,855,132	17,568,906	16,206,605	18,887,289	17,630,929	15,626,705
TOTAL LIABILITIES AND EQUITY	124,835,230	121,062,739	103,283,469	116,891,985	112,916,814	96,350,488

STATEMENT OF COMPREHENSIVE INCOME					
	31st March, 2014 Un-audited Shs '000	Group 31st Dec, 2013 Audited Shs '000	31st March, 2013 Un-audited Shs '000	31st March, 2014 Un-audited Shs '000	Bank 31st Dec, 2013 Audited Shs '000
INTEREST INCOME					
Loans and advances	2,576,728	9,604,199	2,232,704	2,346,809	8,592,080
Government securities	497,928	1,792,456	490,392	428,576	1,568,197
Deposits and placements with banking institutions	122,376	245,761	33,396	80,191	152,981
Other interest income	-	-	18,488	-	21,061
TOTAL INTEREST INCOME	3,197,032	11,642,416	2,774,980	2,855,576	10,313,258
INTEREST EXPENSE					
Customer deposits	1,345,717	4,001,468	1,012,525	1,218,444	3,535,051
Deposits and placements from banking institutions	86,503	216,894	99,545	48,708	122,990
Other interest expenses	20,141	156,675	20,943	17,476	121,497
TOTAL INTEREST EXPENSE	1,462,361	4,374,037	1,093,013	1,284,028	3,779,478
NET INTEREST INCOME	1,734,671	7,268,379	1,681,967	1,571,548	6,533,780
OTHER OPERATING INCOME					
Fees and commissions on loans and advances	292,984	880,429	140,720	203,131	799,318
Other fees and commissions	108,925	634,665	98,181	90,451	336,894
Foreign exchange trading income	340,401	1,146,510	350,840	314,860	1,018,443
Dividend income	-	-	-	-	-
Other income	161,095	556,715	152,109	112,311	465,460
TOTAL NON-INTEREST INCOME	843,405	3,218,319	741,850	720,753	2,620,115
TOTAL OPERATING INCOME	2,578,076	10,486,698	2,423,817	2,292,301	9,153,895
OPERATING EXPENSES					
Loan loss provision	118,961	1,092,873	142,028	146,072	429,185
Staff costs	570,046	2,151,757	523,821	465,554	1,714,568
Directors' emoluments	34,771	215,731	33,250	22,958	143,282
Rental charges	72,246	252,667	61,867	42,840	118,420
Depreciation charge on property and equipment	63,190	249,232	61,658	32,074	202,772
Amortisation charges	50,007	196,875	44,587	43,592	161,193
Other operating expenses	314,156	1,317,571	317,942	297,281	1,054,618
TOTAL OPERATING EXPENSES	1,223,377	5,476,726	1,185,153	1,030,571	3,933,038
Profit before tax and exceptional items	1,354,699	5,009,972	1,238,664	1,261,930	5,220,857
Exceptional items	-	-	-	-	-
PROFIT AFTER EXCEPTIONAL ITEMS	1,354,699	5,009,972	1,238,664	1,261,930	5,220,857
Current tax	(860,716)	(1,803,410)	(370,882)	(552,694)	(1,854,684)
Deferred tax	973,983	3,237,202	867,782	909,236	19,403
PROFIT AFTER TAX AND EXCEPTIONAL ITEMS	1,467,966	3,443,764	1,735,564	1,618,472	3,385,576
Other Comprehensive Income:					
a) Exchange differences on translation of foreign operations	113,562	(122,324)	326,719	-	-
b) Fair value changes in available-for-sale financial assets	347,121	(175,407)	(280,435)	347,121	(179,036)
c) Revaluation surplus on property, plant and equipment	-	39,243	-	-	39,243
d) Share of comprehensive income of associates	-	-	-	-	-
e) Income tax relating to components of other comprehensive income	-	-	-	-	-
OTHER COMPREHENSIVE INCOME FOR THE YEAR NET OF TAX	460,683	(258,488)	46,284	347,121	(139,793)
TOTAL COMPREHENSIVE INCOME FOR THE YEAR	1,928,649	3,185,276	1,781,848	1,965,593	3,245,783
EARNINGS PER SHARE - BASIC & DILUTED					
INTERIM DIVIDEND PER SHARE - DECLARED	1.79	5.96	1.60	1.67	6.24
ANNUAL DIVIDEND PER SHARE - DECLARED	-	0.25	-	-	0.25
	-	0.75	-	-	0.75

OTHER DISCLOSURES

	31st March, 2014 Un-audited Shs '000	Group 31st Dec 2013 Audited Shs '000	31st March, 2013 Un-audited Shs '000	31st March, 2014 Un-audited Shs '000	Bank 31st Dec 2013 Audited Shs '000	31st March, 2013 Un-audited Shs '000
1. NON-PERFORMING LOANS AND ADVANCES						
(a) Gross Non-performing loans and advances	6,065,222	6,597,413	3,723,911	5,444,319	5,082,652	3,447,822
(b) Less interest in suspense	2,221,853	2,076,487	1,378,869	2,134,240	1,943,931	1,328,254
(c) TOTAL NON-PERFORMING LOANS AND ADVANCES (a-b)	3,843,369	4,520,926	2,345,043	3,310,079	3,138,721	2,119,568
(d) Less Loan Loss Provision	2,564,729	2,592,033	1,698,187	2,196,983	1,996,325	1,640,006
(e) NET NON-PERFORMING LOANS AND ADVANCES (c-d)	1,278,640	1,928,893	646,855	1,113,096	1,142,396	479,562
(f) Discounted Value of Securities	1,278,590	1,928,893	646,855	1,113,096	1,142,396	479,562
(g) NET NPIS EXPOSURE (e-f)	-	-	-	-	-	-
2. INSIDER LOANS AND ADVANCES						
(a) Directors, Shareholders and Associates	822,917	1,133,253	1,234,440	791,888	1,133,253	1,226,166
(b) Employees	866,351	822,165	651,681	838,577	781,758	640,144
(c) TOTAL INSIDER LOANS AND ADVANCES AND OTHER FACILITIES	1,689,268	1,955,418	1,886,121	1,630,465	1,915,011	1,866,310
3. OFF-BALANCE SHEET ITEMS						
(a) Letters of credit, guarantees, acceptances	19,905,113	15,173,538	14,831,233	19,465,125	14,502,794	14,707,739
(b) Forwards, Swaps and options	28,016,063	34,630,655	17,682,926	28,016,063	24,858,686	17,462,516
(c) Other contingent liabilities	216,816	132,300	-	-	-	-
(d) TOTAL CONTINGENT LIABILITIES	48,137,992	49,936,493	32,514,159	47,481,188	39,361,480	32,170,255
4. CAPITAL STRENGTH						
(a) Core capital				14,132,515	14,108,111	11,780,770
(b) Minimum Statutory Capital				1,000,000	1,000,000	1,000,000
(c) Excess (a-b)				13,132,515	13,108,111	10,780,770
(d) Supplementary Capital				799,467	767,875	638,883
(e) TOTAL CAPITAL (a+c+d)				14,931,982	14,875,986	12,419,653
10. TOTAL RISK WEIGHTED ASSETS				120,013,924	95,219,586	81,972,858
(a) Core Capital / Total deposits liabilities				16.56%	16.79%	16.34%
(b) Minimum statutory ratio				8.00%	8.00%	8.00%
(c) Excess (a-b)				8.56%	8.79%	8.34%
(d) Core Capital / Total risk weighted assets				11.78%	14.82%	12.45%
(e) Minimum statutory ratio				8.00%	8.00%	8.00%
(f) Excess (d-e)				3.78%	6.82%	4.45%
(m) Total Capital / Total risk weighted assets				12.44%	15.62%	13.12%
(n) Minimum statutory ratio				12.00%	12.00%	12.00%
(o) Excess (m-n)				0.44%	3.62%	1.12%
5. LIQUIDITY						
(a) Liquidity Ratio				29.17%	28.54%	33.22%
(b) Minimum statutory ratio				20.00%	20.00%	20.00%
(c) Excess (a-b)				9.17%	8.54%	13.22%

The financial statements are extracts from the books of the institution. The complete set of quarterly financial statements, statutory and qualitative disclosures can be accessed on the institution's website www.nic-bank.com. They may also be accessed at the institution's head office located at NIC House, Masinda Road, Nairobi.

J. GACHOKA
GROUP MANAGING DIRECTOR

L. MURAGE
GROUP COMPANY SECRETARY

PM NDEGWA
CHAIRMAN